Problem Statement: LoanFlow Intelligence

Client: SwiftFin Capital (fictional NBFC, 15 branches) **Domain:** BFSI, digital lending
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1. Background

SwiftFin Capital is a non-banking financial company offering personal, two-wheeler and small-business loans through 15 branches across western and central India. Over the last 18 months, application volumes have grown about 40%, driven by digital sourcing partners and a mobile application journey. Operations have not kept pace. Most applications still pass through manual document checks, email-based hand-offs between sales, credit and operations, and branch-level follow-ups with no central view of where an application is stuck.

2. Problem

Customers wait too long for a decision, and many give up before getting one.

- The average time from application to approval is **9 days**. Competitors, including fintech lenders, now promise decisions in 2 to 4 days.
- **Document verification** is the biggest delay. Applications wait in queues, are returned for missing or unclear documents, and are re-submitted, often more than once.
- There is no tracking or escalation. When an application sits idle, nobody is alerted, so delays are found only when the customer calls.
- Every application is processed in the order it arrives. High-quality, low-risk applicants wait as long as high-risk ones.
- Performance varies widely by branch and loan type, but management has no consolidated view to see why.

Business impact: lost disbursals, higher cost per approved loan from rework and follow-up calls, customer complaints, and a weaker position against faster lenders.

3. Goal

Redesign the loan approval process and supporting workflow to **cut average approval time from 9 days to 4 days within 6 months of go-live**, without raising credit risk or compliance exposure.

4. Key Metrics to Improve

#	Metric	Current (baseline)	Target
1	Average approval turnaround time (application to decision)	9 days	4 days
2	Application drop-off rate (started but not completed or disbursed)	38%	25%
3	Document verification time	3.5 days	1 day
4	Applications returned for rework (missing or incorrect documents)	45%	15%

Baseline figures are illustrative and will be replaced with actuals from the SQL analysis.

5. Scope

In scope: application intake, document collection and verification, credit assessment hand-off, approval decision, and status tracking, across all 15 branches and all three loan types.

Out of scope: loan disbursement, collections, and changes to the credit scoring model itself.

6. Proposed Direction (to be detailed in the BRD)

Automated document verification, application tracking with status visibility, escalation rules for delayed applications, and risk-based prioritisation of the queue.

7. Success Criteria

Targets above are met for two consecutive months, approval-quality indicators (such as early default rate) stay flat, and branch managers can monitor stage-wise delays through a single Power BI dashboard.